

MetalNord S.p.A. — Confidential Client Profile

UniCredit Corporate Solutions Managing Region: Italy (Porta Nuova, Milan)

Assigned Relationship Manager: RM-MIL-04 (Corporate & Investment Banking)

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1. Corporate Overview

MetalNord S.p.A. is a prominent mid-corporate industrial company headquartered in Genoa, Italy, with primary manufacturing plants in Lombardy and Veneto. Established in 1994, the company specializes in the transformation, processing, and manufacturing of high-grade steel products and specialized alloys for the European automotive, infrastructure, and heavy industrial machinery sectors. The company is classified as a "Mid-Corporate" client within the UniCredit customer segmentation framework.

Key Management & Contacts

- **Chief Executive Officer (CEO):** Ing. Roberto Bianchi
- **Chief Financial Officer (CFO):** Dott. Alessandro Rossi (Primary Treasury Contact)
- **Head of Procurement:** Ing. Francesca Villa

Relationship History with UniCredit

UniCredit S.p.A. has been the primary banking partner of MetalNord S.p.A. since 2012. The relationship is currently managed out of the Milan Corporate Center. UniCredit holds a 45% share of wallet, acting as the main coordinating bank for their medium/long-term (MLT) financing and international trade transactions.

2. Financial Position & Credit Architecture

MetalNord exhibits stable operational performance, supported by robust demand in the European automotive supply chain. However, as an energy-intensive and raw-material-dependent business, its margins are highly sensitive to inflation and capital costs.

Financial Indicator (FY 2025)	Value (EUR)	Notes & Key Observations
Annual Revenues	68,500,000	9% YoY growth driven by

		export demand.
EBITDA	5,820,000	EBITDA Margin at 8.5%, compressed due to energy costs.
Net Debt / EBITDA	2.8x	Within healthy parameters but closely monitored.
UniCredit Credit Rating	Medium-High	Solid transactional track record; prompt repayment history.

3. Outstanding Loan & Interest Rate Exposure

The primary financial risk facing MetalNord S.p.A. in H1 2026 originates from its floating-rate debt structure. Specifically, the company holds a major outstanding long-term loan facility issued by UniCredit:

- **Outstanding Loan Amount (Notional):** EUR 15,000,000
- **Loan Commencement Date:** October 12, 2023
- **Maturity Date:** October 12, 2031
- **Amortization:** Bullet repayment at maturity (single payment in 2031).
- **Interest Rate Type:** Floating Rate (Unhedged)
- **Reference Benchmark Index:** EURIBOR 3M
- **Contractual Spread:** 1.50%
- **Current Total Interest Rate (as of May 2026):** 4.95% (EURIBOR 3M at 3.45% + 1.50% Spread)
- **Current Annual Interest Expense:** Approximately EUR 742,500

Interest Rate Risk Sensitivity Analysis

According to the latest *UniCredit Global Markets Research*, EURIBOR 3M is projected to peak at 4.50% by Q4 2026. Without active hedging, this rate rise will directly impact MetalNord's financial expenses as follows:

Scenario	EURIBOR 3M Rate	Total Interest Rate	Annual Cost Estimate (EUR)	Additional Cost Impact
Current (H1 2026)	3.45%	4.95%	742,500	Baseline

Expected H2 2026 Peak	4.50%	6.00%	900,000	+ 157,500 / year
Stress Scenario (+1.50% shift)	4.95%	6.45%	967,500	+ 225,000 / year

4. Foreign Exchange (FX) & Import Risk

In addition to interest rate exposure, MetalNord S.p.A. has an active foreign currency procurement program. The company imports specialized iron ore and machinery parts from major industrial suppliers in the United States.

- **Annual USD Procurement Volume:** USD 5,000,000
- **Trade Frequency:** Recurrent quarterly purchases of approximately USD 1,250,000.
- **Current Currency Exposure:** EUR/USD. With the Euro weakening toward 1.05, the procurement team is experiencing an import "margin squeeze," as more Euros are required to settle USD invoices.

5. Treasury Objectives and Risk Preferences

During our last corporate consultation, CFO Alessandro Rossi defined the following treasury guidelines and constraints for the upcoming fiscal years:

1. **Absolute Cost Predictability:** The Board of Directors demands a definitive budget ceiling for financial costs to safeguard the company's cash flows. They prefer fixed, non-volatile payment structures over complex variable option tunnels.
2. **Zero-Cost Upfront Requirement:** The treasury currently has strict working capital constraints and **cannot** allocate liquidity toward high, non-refundable upfront option premiums (excluding standard option premium strategies).
3. **Anti-Floor Policy:** MetalNord's internal corporate guidelines explicitly **forbid** entering into derivative contracts that include interest rate floors (which would force them to pay minimum rates to the bank if market interest rates drop below a certain level), preferring plain, symmetric structures.

6. Advisory Verdict & Strategy Recommendation

Based on the client's risk profile, credit rating, and treasury constraints:

- **Unsuitable Products:** * *Interest Rate Cap*: Rejected due to the requirement of a high, non-refundable upfront cash premium.
 - *Interest Rate Collar*: Rejected due to the corporate policy forbidding interest rate floors.
- **Recommended Fit:** A **Plain Vanilla Interest Rate Swap (Fixed-to-Floating)** is the ideal and only fully compliant hedging instrument. It successfully converts the unhedged EUR 15M floating-rate liability into a fixed, predictable rate, requiring zero upfront premium and

offering symmetric cost security in perfect alignment with MiFID II and the client's internal risk guidelines.

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